

Goldman Sachs Global Staples Forum

Company Participants

- John Fieldly, Chief Executive Officer
- Toby David, Chief of Staff

Other Participants

- Unidentified Participant, Analyst, Unknown

Presentation

Unidentified Participant

All right. I think we'll get started.

So it's a pleasure to introduce our next speaker, John Fieldly, CEO of Celsius Holdings.

We also have Toby David, Chief of Staff at Celsius joining us.

Now Celsius is a rapidly growing and now mainstream brand in the energy drink category with an impressive 11.5% share of the energy drink category up four points year-over-year and an exciting pipeline of innovative and better-for-you beverages and powders.

So Celsius is at a pivotal point in their journey, lapping strong triple-digit growth from last year, fueled by their distribution agreement with Pepsi, which by all accounts, really has been a great success.

They're also looking to further ramp their international presence and recently announced a number of new distribution agreements abroad.

So importantly, the stock continues to outperform, up an impressive 58% year-to-date following last year's incredible performance.

So thank you both for joining us today.

So I wanted to kick things off at a high level and maybe talk about the category.

First, before we dive into some of the company's specific details.

So a top-of-mind concern or maybe question that I'm getting right now from investors is the energy drink category growth has decelerated recently, at least that's what we're seeing in the scanner data and certainly based on some conversations I've been having with retailers.

Questions And Answers

Q - Unidentified Participant

So curious from your viewpoint, what's been the driver of some of this deceleration?

A - John Fieldly {BIO 17560616 <GO>}

Yes.

I think an amazing introduction as well.

We're excited to be here. Just one thing to add (inaudible). The first really brand in the last decade to break attention in the energy category, too.

So just a really astonishing job on the team and the way the brand is resonating with a broader consumer.

But looking at the data, there's a lot of data out there. No one is better at analyzing the data than you.

But the way we see it, 2023 was pretty high comps within the category.

So we're comping 2023.

So I think you have to take that into consideration.

I know that you do a lot of analysis on a two-year stack data.

So that's something to look at in perspective.

In general, I think we're really bullish on the category. Mintel just came out with a recent report that anticipated an 8.8% category growth.

So they're anticipating category growth.

They're anticipating that they continue for the foreseeable future.

So I think we're all needing more energy.

We're seeing the category blur, and that's what's interesting about Celsius is we're bringing new consumers in.

We're seeing usage occasions expand outside of that traditional need state of energy.

It's becoming more of a daily lifestyle, a daily routine.

So I think as we sit with Celsius, I think we're in a really good position and almost going after like total beverage now as the lines are blurring.

We're really excited about the category.

But just keep in mind, we're lapping that 2023, which was really big category growth rate for energy.

Q - Unidentified Participant

Yes.

So just in context, yes, it's just a step down in growth but still the consumers are attracted to the category.

So you're not seeing any noticeable changes either with consumption patterns or?

A - John Fieldly {BIO 17560616 <GO>}

Yes.

Some of the data we're looking at, we're not seeing -- not really seeing anything significant at this point.

We're seeing good growth, and we're going to talk about some reset opportunities this year we see that's taking place.

But I think the brand is really well positioned.

We're hitting -- really bringing in new consumers and some of the consumers that maybe they would have aged out of the category are seeing Celsius as a better fuel alternative.

So we're keeping them in the category.

So those are some data points we're getting.

I think we'll know more as we get through summer and we really -- we're really still under indexed in convenience, which is about 68% of category sales are in convenience.

So I think once these resets come, we'll look in the summer, and we'll get some more data at this point on the Celsius brand and how it's resonating.

Q - Unidentified Participant

Okay. And last year, you reported your Q1 results, which were quite good, with growth up 37% granted lapping 95% from the prior year.

So as you mentioned earlier, just tough comps, but still very attractive growth. And as you come out of Q1, how are you seeing that growth continue? Just I'm thinking about whether it's in April and May, you still feel pretty good about that growth continuing?

A - Toby David {BIO 20749891 <GO>}

I mean you mentioned the 37%. That's a revenue ourself sell-in to Pepsi and our other distribution partners and retailers.

As we called out the earnings, there was a significant inventory reduction as far as the days on hand that Pepsi was holding.

So I think when you look at that and you also look at -- there was an artificial inventory build in Q1 of last year that we were lapping, we called out \$20 million - \$25 million inventory build in Q1 of 2023. That 37% figure is a little bit -- it's not quite what the sell-through is to the actual consumer.

I believe we're around 70% growth on the IRI data that we look at for Q1.

So we're bullish on the brand and where we're at, some very strong data points out there that are pointing that the brands continue to resonate with current energy drink consumers as well as, as John mentioned, bringing new consumers to the category.

So we're excited, as John referenced, the resets are still underway.

So we're extremely bullish is our reference.

Q - Unidentified Participant

And I definitely know that, that came up a lot on the call just in terms of the sell-in or distribution from Pepsi.

What I'm trying to reconcile still, as you mentioned, the spring resets. They definitely want to touch on the shelf space gains that you all are going to be getting.

So as I think about that in the selling to Pepsi, are they going to be ordering more as they need to fill in all this additional space that you're going to be procuring I believe you secured some (inaudible)?

A - John Fieldly {BIO 17560616 <GO>}

We're about 50% when we did the call the other week, I think about 50% are set.

We think the biggest resets are still to come in -- is really in the convenience channel. That's where the biggest opportunity is.

But to Toby's point, when you look at the scan data and you look at our sales -- our sell-through to Pepsi, you have to keep that into consideration.

I think as long as the registers are strong, we're seeing scan data grow.

We talked about on the earnings call we ended the quarter at 11.5 share. And then on the call we said, it's not -- you have to be careful on one week reads, right? Because one week read can be very much impacted by promotions, new flavor launches by competitors. There's a lot of variables, but it is something as maybe a potential early indicator. And what we said on the earnings call is a one-week look back at the time we released was we had a 11.8% share.

So we're seeing some good signs of continual performance on hitting record weeks.

We had a record scan week when we released earnings.

So -- and we just had last week, which was another record week.

We -- the data came in at 12.1% share in the category, and it was another record week.

So right now we've had two back-to-back weeks of record sales at the register.

So demand is there, momentum's there. Convenience store resets are still going to be taking place through the end of May.

We do feel they're going to be done by June.

We were just at -- I have the whole team right now at Casey's, which is a major retailer in the convenience channel.

One, we've historically been under-indexed with only one or two facings almost 18 months ago.

So we come and see our booth at the show.

It looks really great.

We actually won a supplier award as well.

So it shows that the team is working, being customer focused, not only on our peers and our distributors, but also our retailers so -- and maybe end consumer.

So we're really excited about that.

But the underlying demand is strong.

We can't control what our distribution partner really takes inventory up or down.

We ended Q1, we think they're going to maintain the inventory on days of supply will be consistent.

Now it will increase with our revenue increase -- sales increase.

But it's really out of our control.

So if they bring inventories up or down, I mean at the end of the day, it's what is consumers? I mean consumer demand is going to flow through and our revenue will catch up whatever quarter that may be.

We are gaining efficiencies though.

So you have to really understand that as well.

We're in the second year of this partnership with Pepsi.

So we're gaining more synergies in our supply chains, working more efficiently together.

We have optimized our inventory over the last 15 months by \$47 million.

So that's what really good partners do is find ways to be more efficient on that as we continue to grow scale and grow together.

Q - Unidentified Participant

And Pepsi a big distributor now for you, but they don't do all of it. Remind us the percentage that they distribute of your business.

A - John Fieldly {BIO 17560616 <GO>}

In North America, it's about 62%.

Q - Unidentified Participant

Yes. And so, the rest of it, how are your inventory levels with the rest of your distributors with a (inaudible)?

A - John Fieldly {BIO 17560616 <GO>}

They're pretty much consistent -- pretty much consistent -- the other we go direct to Amazon, we go direct to a lot of the club channel. And then we have big guys are here in New York, which is a great distributor for us, do phenomenal.

We're up to close to almost a 20 share in New York City, which is phenomenal, very close to be the #2 brand. Maybe this summer, we can achieve that.

We're working really hard.

We've got great marketing assets available, and it's exciting.

But (inaudible) and the guys are doing a phenomenal job in New York.

Q - Unidentified Participant

Jerry's definitely great.

I know you guys have been strong partners and speaking in New York area.

I think there's some changes going on possibly with one of the other big energy drink brands and there could be an opportunity for you in the market.

A - Toby David {BIO 20749891 <GO>}

Yes, Red Bull, they terminated their longtime New York City distribution partner. They go direct in many regions of the country, so they're choosing to go direct here.

So listen, Rebels an amazing company, amazing brand globally.

We'll see what happens. Many a time you have noise it can cause disruption, and we're going to try to make sure it's an opportunistic situation for Celsius for sure.

Q - Unidentified Participant

I wanted to circle back on the shelf resets and -- and I think you've seen our beverage by retailer survey recently.

I mean you're one of the biggest space gainers at least that's what we're hearing from the retailers.

Now you mentioned, I think you have visibility or about 50% of your shelf have already been -- or you've gained.

A - John Fieldly {BIO 17560616 <GO>}

Yes. And that's -- when you look at it, it's really the huge opportunity for us is right now as we stand as convenience.

So if you look at grocery and mass historically reset a little bit earlier. And this year, it seems like the convenience channel.

We're hearing labor shortages and a variety of other details, but it seems like it were somewhat delayed on some of the resets and convenience that are coming through.

But that's going to be the biggest opportunity for us.

If you look at our share by category, we have about a 10% share in the convenience space. And then if you look at food and you look at mass, we're much higher.

So that's how we're getting that blended rate.

But 68% of energy drinks are sold in convenience store.

Huge opportunity we know we resonate with a broader consumer base.

We just got to get these resets really set, really build out that billboard at retail, get secondary cold replacements and really continue to partner with these retailers.

We got great innovation.

I talked about the Blue raspberry lemonade, super refreshing.

We have a Galaxy Vibe over here that Toby has, the watermelon strawberry flavor, just really great.

We kicked it off this year with some key retailers, and we've got some exciting stuff for this summer. That's going to continue to drive momentum as we go through.

Last night, Jake Paul versus Mike Tyson kicked off their PR activation here at the Apollo theater.

We're going to be a big part of that. That's going to get a little increase -- further increase our brand awareness, supposed to be one of the hottest events, live sporting events in the world. And our household penetration has increased over the last year.

We're up to about a 29% household penetration. And you see that grow over 11%, almost double.

It's just astonishing. And that really has to do with the distribution and a lot of our marketing assets and the team that's been really working hard.

Q - Unidentified Participant

Do you -- or can you give us a sense, John, of the percentage increase of space you're getting or expecting to get at retail this year? And then I'd love to hear how that compares to prior year. And if it met or exceeded your internal expectations? Do you have a way to quantify?

A - John Fieldly {BIO 17560616 <GO>}

When we're quantifying it is we haven't really specific gave the exact quantification.

But what we're seeing, we're looking at as an example. Let's look at Publix, right? So in the food channel, historically, we've been still in the HBC set. That's health and beauty.

And due to sales, demand, the way the brand is resonating, now we're starting to migrate over to the beverage aisle.

So at Publix now we're in the beverage aisle, which allows us access to those cold checkout coolers, which are super important.

We're doing the same at Kroger.

If you go to Kroger, a lot of their banners were in beverage, and we're also in HBC.

So it's really disrupting that path to purchase is what the teams are working on.

We've quadrupled the size of the sales team, quadrupled the size of our key accounts team.

Specifically quantifying, we were talking about this in one of the meetings earlier, it's not counting the number of items reported in IRI or Nielsen because I think we're right around 20 average items right around 20%.

If you look at Monster or Red Bull it's like 28% to 30%.

We could add one or two facings on average or items per store on average, but we can really significantly impact the retailer with improved shelf placement, moving, as we always say out of the gutter, get to the bull's eye zone, building out that billboard, getting those secondary placements. And we really talked about quantifying those specific numbers by channel.

A - Toby David {BIO 20749891 <GO>}

Yes. We haven't given out a percentage, but you mentioned the 50% just for clarity, that 50% of the way through. John's referenced previously that this was the year we expected to get our biggest gains ever. Circle K is the second largest convenience chain in the country.

I think they have like 13 divisions. And we just went into probably half of those divisions last year.

If you -- Florida -- Circle K Florida, we do exceptionally well in Florida.

It's our home state.

We have 20-plus share in multiple markets in Florida. And if you go into our Circle K in many of their locations, we only have on shelf.

It's down in the bottom row of the gutter, as John referenced, and they haven't had the reset yet.

But we certainly -- like in a place like that, a Circle K in Florida, we married a lot more space, better locations.

So there are situations like that around the country where we anticipate having significant gains, better location, and that's going to drive not only more sales, but more trial, which brings in new consumers once you get that better location.

A - John Fieldly {BIO 17560616 <GO>}

Dollar General, I mean if you just look at it as an example, Dollar General, you added a few more items, but last year, we were warm right.

So going from a warm shelf, now gaining cold placements.

I mean technically, that's -- even though you didn't double your shelf space, you gained additional placements in the store to cold checkout, cold coolers, which just further increases the opportunity for disrupting that path to purchase.

So I mean that's almost doubling your availability when you go from the warm shelf to the cold shelf and Dollar General. And we did the same in Maverik, doubled our space at Maverik.

A lot of retailers are leaning in with us, which is really exciting. And if you look at the scan data, if you look at where Celsius is driving growth, Celsius is driving about 47% of the category growth.

So if you're a retailer, definitely looking at -- if you're looking at the data, you need to add more Celsius to your sets.

So that puts us in a really big position. And we're seeing a lot of the retailers leading.

Q - Unidentified Participant

Maybe I'll shift gears a little bit because that's helpful and I agree.

I couldn't agree more, especially in the convenience channel to drive trial price increases, right? So last year, Red Bull took one, which I think was unexpected from a lot of us. And then most recently, Monster did announce that they are going to move on pricing and they're going to implement their price increase in Q4.

So I'd love to hear your thoughts on that.

I don't know if you're prepared to talk about whether or not you consider following or how you think about pricing?

A - John Fieldly {BIO 17560616 <GO>}

We're constantly analyzing the market it's -- we don't want to be a drag on the market. That's for sure.

We do see opportunities as we go forward.

I think your timing and sequencing has to be really critical.

We have -- we're in the middle of the largest resets in company history.

We're looking at promotional strategies.

We also just launched a new line called Celsius Essentials.

So that's a 16-ounce offering, which is -- we'll be launching inconvenience. That's a 16-ounce offering that's coming into convenience. And we are doing some promotional strategies to get trial, and it has been incremental to us.

I mean we think there's a big opportunity in the Channel four of the Celsius Essentials in a 16-ounce pack. There is a segment of the energy drink category that really sees value in that larger can. This allows us to compete at that level. Pricing and promotional architectures are extremely critical, not only in totality, but also by channel and also pack mix.

So keep that in mind.

We are a 10 share in the energy drink category under indexed in our overall sales mix.

We do really well in grocery and mass and variety packs have been a larger mix of our portfolio, potentially than Monster has when you're looking at a cost per ounce. And historically, that goes for a lower ounce cost per ounce.

So these are just some mix, the portfolio mix, where we are in our life cycle, percentage of sales by channel.

So I think that will really evolve.

Hopefully, it evolves after the resets, but things we're looking at.

I'm not going to announce a price increase today.

So -- but things we look at and where there's pricing opportunity, team is very disciplined to take advantage of it and find leverage through our system and continue to drive a healthy P&L.

Q - Unidentified Participant

You mentioned Celsius Essentials.

So I believe it's been incremental to your overall portfolio.

But I'd be curious to understand how much it has potentially cannibalized some of the core brands?

A - Toby David {BIO 20749891 <GO>}

So we've been ecstatic about the performance and the incrementality of Essentials.

We launched it in 7-Eleven in Q4 last year. They were really excited to bring it on.

We have gotten quite a bit of data points out of the 7-Eleven launch and incrementality.

It is a new consumer to different consumers, as John referenced earlier.

Their people just want more volume, a 16-ounce can in their hand.

So it's different branding as far as the packaging, and we're -- we feel it's got a ton of runway ahead of it.

So we've been excited about the incrementality. The cannibalization, I mean that was a big thing for us.

We wanted to make sure that we weren't putting a product on the shelf that people will just pivot from one of our core lines into that.

We were looking to design a product that would resonate with a different consumer.

A - John Fieldly {BIO 17560616 <GO>}

And super refreshing flavors in the flavor profile of the Essentials line is just it's spot on. Team did a really good job, provides that additional energy consumers are looking for in that channel, and we're excited about it.

Q - Unidentified Participant

And as I think about the energy drink market, a lot of innovation, not just from your company, but from really everyone. And just thinking about some of the competitor launches.

Obviously you've had such great success as I don't know how you define whether it's the better for you, fitness performance, energy drink category. Thoughts on some of this competition and how you're going to defend your share and what I'm referring to is whether it's rainstorm, bang, etc. How do you feel about this stepped-up competition?

And how concerned are you?

A - John Fieldly {BIO 17560616 <GO>}

Well I think there's -- the beverage industry alone is extremely competitive.

I mean 1,000 new brands come to market every year.

It's very difficult to get to \$100 million in sales, let alone \$1 billion in sales.

We have a consumer segment.

We have a loyal consumer.

There's constant innovation in the category. Banks has -- prior has a great brand.

I'm not sure what's going to -- how that brand is going to evolve under the new leadership team.

But -- you got Reign Storm out there, you've got ZOA -- there's so many different competitors.

We need to stay true to our core.

We need to continue to stay focused on our consumers, and we're going to win them over each and every day.

We got amazing innovation.

We've got amazing assets to leverage, and we need to connect with our consumer, not only because of the liquid in the can, but connect with them through culture.

We need to be bigger than the liquid in the can. And when I was coming up here on the flight up, they were talking about Nike, which I thought was quite interesting, and they were talking about the marketing behind Nike and they were saying, Nike shoes are really like a commodity.

And -- but they've been able to -- they never talk about the features and benefits of the shoes. They talk about -- it's a lifestyle.

It's supporting the athletes.

It's really an essential culture, and that's really what we do here at Celsius.

Q - Unidentified Participant

Now I wanted to switch gears to some of the moves you've made internationally. Maybe starting with Canada.

I think it's a priority still for Celsius. And I think you began selling product in January, if I'm not mistaken, in Canada and already, I think you've reached 5.5 share.

As of your Q1 earnings call which is pretty impressive in just that short amount of time.

So curious to hear really where that share is coming from, how big is the energy drink market in Canada just even versus the U.S. for perspective?

A - John Fieldly {BIO 17560616 <GO>}

Yes. We were really surprised on Canada. There are priding of different pieces on that, but the brand has really resonated extremely well.

A - Toby David {BIO 20749891 <GO>}

All international markets are important, but it's also critical to remember that the U.S. is our highest priority because of the size of the market.

Now Canada, obviously being our neighbor, you get some spillover because of a lot of the marketing that we have.

It's about \$500 million in sales is if you capture 100% of the category.

So call it 4% to 5% 5% share.

I think I can do the math.

It's around -- close to \$25 million run rate.

So we're excited about it, but we also remember it might be like the size of like Ohio, right? So it's really important to win in every market that we go into. That's why we're taking a more methodical approach with our international expansion in general.

Q - Unidentified Participant

And then what about some of the other plans to expand internationally? I think you've expanded into Australia, France, Ireland, New Zealand, U.K., I don't know if I just missed.

A - John Fieldly {BIO 17560616 <GO>}

Yes, just -- We signed distribution agreements but we actually have product on the ground around in the U.K. and Ireland.

We're taking -- as Toby mentioned, we're taking really a methodical approach, timing and sequencing.

We all know how difficult it is when you land on shelf, you really have 60 to 90 days to perform.

So we want to make sure we have a loyal consumer base.

So we launched in select retailers as well as in the fitness channel, and then we're going to build scale as we continue to grow. Australia, France, New Zealand are all planned for Q4 this year. And we're going to take the same methodological approach as we continue to grow and scale. And then as we see greater consumer acceptance, we'll lean in a little bit more.

We want to be very cognizant on driving profitable growth.

So it's where do you place your resources for the biggest drive for the business? And as Toby mentioned, it's North America at this point.

We know we can put investments to work in North America.

It's a huge energy drink category.

There's so much opportunity here in the U.S., but international is important.

It's going to be important for years to come as we continue to evolve.

We know Monster has a great international presence as well as Red Bull.

We do feel the same health and wellness trends that has made us successful in the U.S. are global trends.

Everyone wants better for you. They don't want to sacrifice flavor.

Everyone wants their food and drinks to do more and more functionality and fitness is lifestyle and it's broad, and it touches every culture.

Q - Unidentified Participant

And as you enter some of these markets internationally, can you talk to us about your route to market? I know you've chosen some different distribution partners. And walk us through the decision process when it comes to choosing an international partner?

A - Toby David {BIO 20749891 <GO>}

Yes. I think it's important to remember because we get this question a lot, especially because Pepsi are our North American distribution partner in both the U.S. and Canada.

So their system is a little bit different than Coke's is globally, whereas most of Pepsi's international distribution is through third-party bottlers that they have relationships with.

So there are some countries like Canada and Germany that are Pepsi owned, but most of them are these third-party bottlers, which they're great.

So we negotiate with all of them were introduced to many of them.

But I think one of the benefits of -- for Celsius and our shareholders are we're not behold to just have to go with them.

If you're locked into having to go with a particular distribution partner, you don't have much to negotiate as far as on the P&L and the route to market and entry in that market.

So we'll talk to the Pepsi bottlers.

We'll also, as you've seen, we've signed multiple deals with Suntory [ph] who -- I mean they were very excited to partner with us. And they're a Tier one distributor in every market in Australia.

They're the #1 energy player as far as distribution already.

So I feel it just gives us a better opportunity to negotiate, get a better P&L profitability.

I think that's something you've even seen with Monster, they've got such a gap between their U.S. business and their international business.

I don't know all the reasons behind that, but I'd imagine that when they went into the Coke network 10-plus years ago or around 10 years ago globally, that they went in fast.

They probably signed deals that, from my understanding, are probably expiring soon, a lot of them, and they're probably going to renegotiate a lot of those.

So I think they're probably in a good position as well.

A - John Fieldly {[BIO 17560616](#) <GO>}

And I think on Suntory picked in a variety of markets. They are a Pepsi partner in a variety of markets as well.

So -- and they're really excited. And I think it's going to be -- we're going to find the right partner, the best partners for the best opportunity in each market, in each market is unique.

Q - Unidentified Participant

And ultimately, to be clear, the U.S. is still the #1 priority.

We see great runway internationally.

If we're sitting here again in five years, hopefully, we are.

What do you think or how big do you think international will be as a percentage of sales of your business?

I mean how quickly do you think you can scale this?

A - John Fieldly {[BIO 17560616](#) <GO>}

We look at Monster as our peer.

I can't -- I don't see why Celsius couldn't have the same revenue mix as 5, 10 years from now as we reach maturity. And there's a long runway of Monster growth left.

It's great brands they have and the energy category keeps getting -- we feel is going to continue to keep growing in these markets. And just a -- we're one of the fastest-growing categories in food and beverage, and we have a great product, a great portfolio, and we're in demand for consumers.

A - Toby David {[BIO 20749891](#) <GO>}

Yes. I would just say Monster at the same stage we're at today. Their mix of U.S. and international was a little bit greater international than where we're at, I think it was maybe 20% roughly of their revenue at the same time (inaudible).

So I mean we're going to take it easy.

I mean we're judged every quarter by the street.

We're not going to burn up our P&L by investing tons of cash in as many markets as possible.

So -- we're confident that as we build this brand in the U.S. and in key international markets, we have the international properties like F1 where we're partnered with Ferrari.

We think this is an opportunity for us to -- once it starts snowballing, it will happen quickly.

But I don't think we want to commit to being at 40% of international revenue in five years the way Monster is, but we'll see how quickly it can happen.

A - John Fieldly {[BIO 17560616](#) <GO>}

And I think you saw that taking our first step to being really further building Celsius as a global iconic brand with that F1 Ferrari partnership. There's a lot of excitement around that. They have Lewis Hamilton coming to the team next year.

We're able to leverage Ferrari in a variety of other markets in the U.K. and in even some of the APAC markets.

And we're looking at global assets now as we really take the next phase.

Q - Unidentified Participant

And you bring up a good point, growing profitably. And speaking of profits, I wanted to ask you guys about gross margins. You continue to expect them to be in the high 40% range this year.

But Q1 came in at a bit over 51%.

So I have to ask walks through the decision maybe to leave the, I don't know softer gross margin guidance in the high 40% range.

Like where and then ultimately, where you see the gross margin upside?

A - John Fieldly {BIO 17560616 <GO>}

Yes. We said the upper 40s as some guidance on our margins as a full year.

I think when we look at the margins, we don't want to commit to that number at this point, especially with the resets coming in just because the shelves are reset doesn't mean that our bus is full of the Celsius consumers come and grab Celsius, right? We need to disrupt that path to purchase.

We're going to have to use pricing promotional strategies to get that trial.

We know when we get the trial we create loyalty.

We're launching a new line or Celsius 16-ounce Essentials line.

Also some retailers are paying slotting fees for as we go in.

We need to cycle that volume through as we build volume.

So there's a variety of different margin constraints that are coming -- that will come into factor.

But I think we're pretty confident on the upper -- we are confident on the upper 40s right now.

And we had a great first quarter.

We're building out our orbits.

So when we talk about Orbits -- it's about producing and selling within really a one-day truck ride.

So any time you do overnight truck deliveries, halls, their costs go up substantially.

So you really want to produce and sell in the same orbit and it needs to be one-day delivery or same-day delivery.

That's going to be your cheapest freight rate.

We're also seeing there's opportunities for further cost savings as we go, as we gain further leverage. Co-packer arrangements are coming up.

Our volume is much bigger than, say, potentially five years ago when we entered into those.

So there's a variety of different leverage.

We have Paul Story, our Head of OPS. He's been just a great asset to us, and he's got a lot of ideas as well as we continue to grow and scale to find more margin.

Q - Unidentified Participant

And to be clear, the high 40s is the guidance this year, but longer term, do you have an aspiration for gross margins?

A - John Fieldly {BIO 17560616 <GO>}

And I think when you -- we've always said we want to be somewhat similar to -- we think upon scale, it can be similar to Monster as our largest peer.

Now keep in mind, we include outbound freight in our gross profit.

So you need to take their freight.

I believe it's in their selling expense line and add that in.

But we think we can be very close to our peer group upon maturity as we get to those sizes.

We are investing right now.

We see great opportunities in the convenience channel. Like I said, we're at a 10 share and greatest resets coming in company history. And just last week, we're at a 12.1% share nationally.

So I don't think now is the time to really truly focus on the margin impact.

We need to drive further scale within the category and a further holding power. This is the first brand in the last decade to get north of 10 share in the category.

So just keep that in mind as well.

Q - Unidentified Participant

And as you think about future growth, I know we're running close to time.

It's really a combination, I assume, innovation, distribution gains, your gains.

What are some of the other drivers of your top line growth?

A - John Fieldly {BIO 17560616 <GO>}

The top line growth is going to be -- we've got distribution, so better placement at retail, further expansion, additional coal placements.

Innovation has been a great driver for us, not only with our core fruit forward line [ph], but our Vibeline [ph]. -- Toby has a Galaxy Vibe right now.

We've got great vibe flavors coming out.

We have a fine free line.

We're going to further build out. This is our third flavor right here as Raspberry lemonade, which is super refreshing. That's a huge opportunity going forward as well going after that cold coffee consumer potentially. And then you also have the Celsius Essential line. And we don't really talk too much about the powder opportunity, but we have Celsius on the go sticks.

We've just further expanded into a vibe line with our Omnigo sticks at Walmart, and we are the #1 selling energy drink powdered product within the category.

So there's a lot of opportunities there to grow and just really starting to put some focus on that.

So -- and then as we scale, we could go into other adjacent categories with timing and sequencing. Hydration has been on the talking points as well as a variety of other sublines as well.

But right now we're really focused on the energy category.

Q - Unidentified Participant

And when you mentioned adjacent categories, is that organic? Or would you consider M&A in any?

A - John Fieldly {BIO 17560616 <GO>}

I think it's organic, but it could be an opportunity down the road.

We would need to partner closely with our major distribution partner to make sure we -- it fits into the distribution network.

I think running a fragment two networks would be somewhat difficult for the sales team.

We want to make sure we're really leveraging our assets. And right now we have almost 800 employees that are just really getting ready right now for the 100 days of summer.

It's going to be the biggest summer of company history. And from MLS, as Toby mentioned, FI, we think got the Jake Paul Tyson fight coming up.

We have a variety of concert series from country to EDM across the country, great influencers, and we're looking to heat up the summer.

Q - Unidentified Participant

Last question for me.

As we're sitting here there next year in the next few years, what are some of the aspirations for your share? Should we make some predictions today where you're going to be? I don't know if I would have guessed if I think about being on stage with you last year, I mean how quickly you grew to (inaudible)

A - John Fieldly {BIO 17560616 <GO>}

No. I agree.

So I think I still probably I would say the standard that what we've always talked about.

So we're a 20 share on Amazon, and we do consider that like an equal playing field where all brands are treated equally.

What's interesting is we gained -- we went from a 60 share last time we were on stage.

So we're about 60 80 ACV -- right around 60% ACV.

This is prior to Pepsi. And we rerun a 20 share on Amazon. And we've gained 98% ACV tons availability, you would think that number would come down.

But it's held and we expanded in the club, it's still held.

So bringing new consumers in, I guess, we're somewhere between the 12 that we did last week, 12.1 and 20 share today.

So somewhere in between.

We'll see how it goes, but we've got to win in convenience.

If we don't win in convenience, we won't be able to get there in the energy category.

Q - Unidentified Participant

And the summer will tell us -- all right. Thank you. Thank you so much for joining us today.
I appreciate it.

This transcript may not be 100 percent accurate and may contain misspellings and other inaccuracies. This transcript is provided "as is", without express or implied warranties of any kind. Bloomberg retains all rights to this transcript and provides it solely for your personal, non-commercial use. Bloomberg, its suppliers and third-party agents shall have no liability for errors in this transcript or for lost profits, losses, or direct, indirect, incidental, consequential, special or punitive damages in connection with the furnishing, performance or use of such transcript. Neither the information nor any opinion expressed in this transcript constitutes a solicitation of the purchase or sale of securities or commodities. Any opinion expressed in the transcript does not necessarily reflect the views of Bloomberg LP. © COPYRIGHT 2025, BLOOMBERG LP. All rights reserved. Any reproduction, redistribution or retransmission is expressly prohibited.